Lab: Azure Cost Alerts and Budgets

Lab Overview

In this lab you will understand how to configure and explore Azure Cost Management budgets and cost alerts. Azure Cost Management gives you visibility into your Azure spending, helps you stay within budget, and notifies you proactively before costs exceed acceptable thresholds.

You will start from inside a pre-provisioned virtual machine, access the Azure Portal via Microsoft Edge, navigate to a resource group, view a budget with threshold alerts, and then view cost alerts to monitor ongoing spending.

What You Will Learn

By the end of this lab you will be able to:

- Access and navigate the Azure Portal.
- Navigate to a resource group and open Azure Cost Management.
- View a monthly budget with actual and forecasted cost alert thresholds.
- View cost alerts for a subscription scope.
- Understand the three types of cost alerts: budget alerts, credit alerts, and department spending quota alerts.

Pre-Deployed Resource

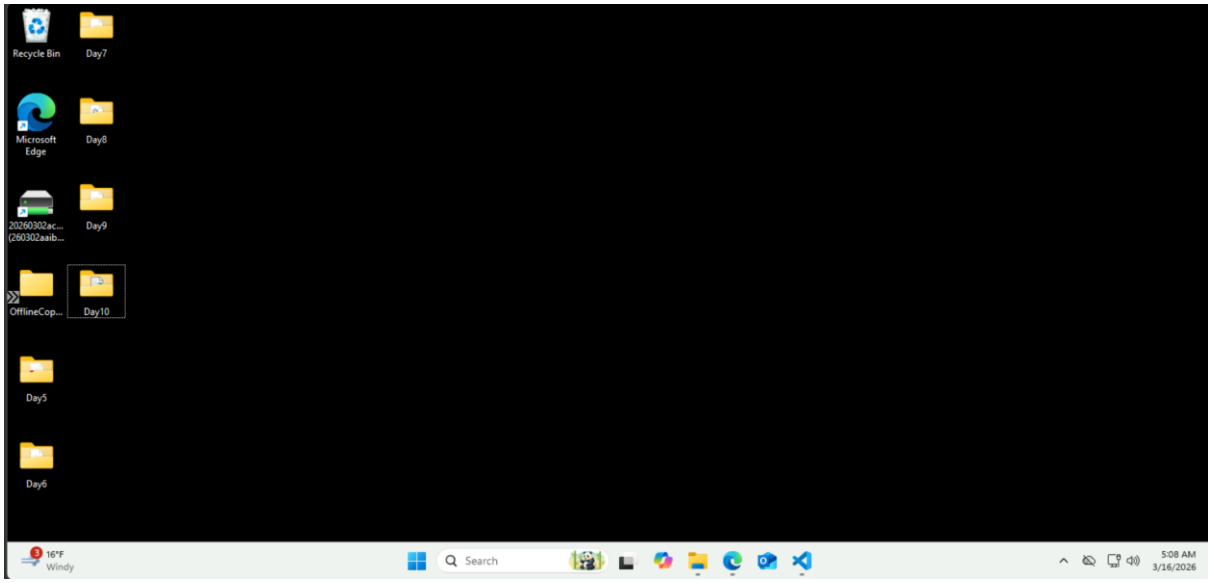
A resource group has been provisioned for you in your Azure subscription. You will use this resource group to view budgets and cost alerts during this lab.

Prerequisites

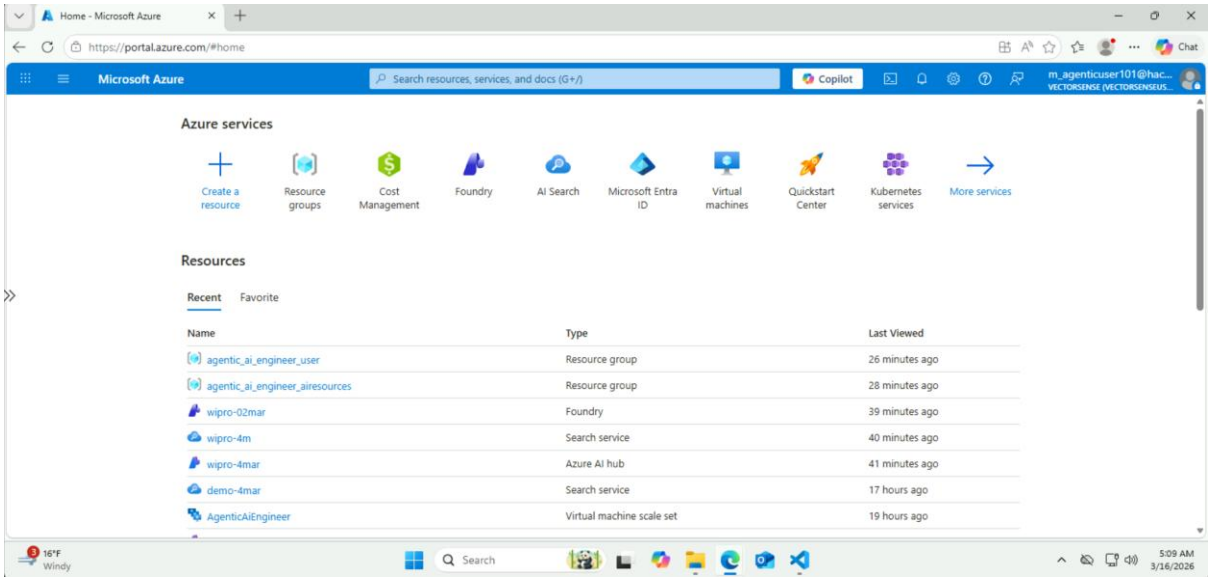
- Microsoft Edge Browser: Installed on the virtual machine. All Azure Portal steps should be performed in Edge.
- Basic familiarity with the Azure Portal navigation.
- Understanding of what a budget is in the context of cloud cost management.
- Familiarity with Azure subscriptions, resource groups, and cost concepts.

Step by Step Instructions

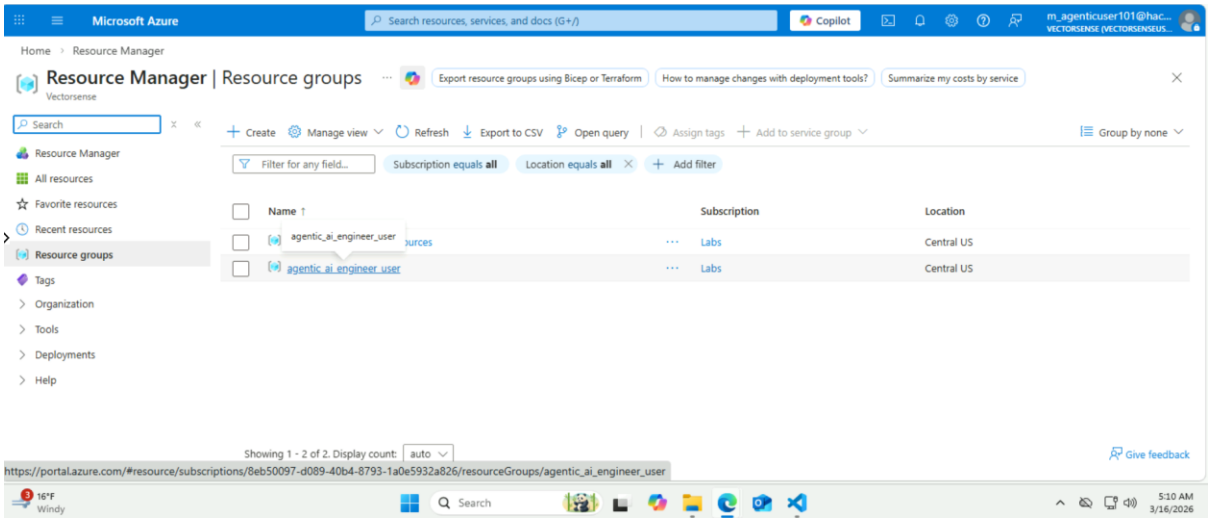
1. Open the browser. On the desktop or taskbar, locate and click the **Microsoft Edge** icon to open the browser.



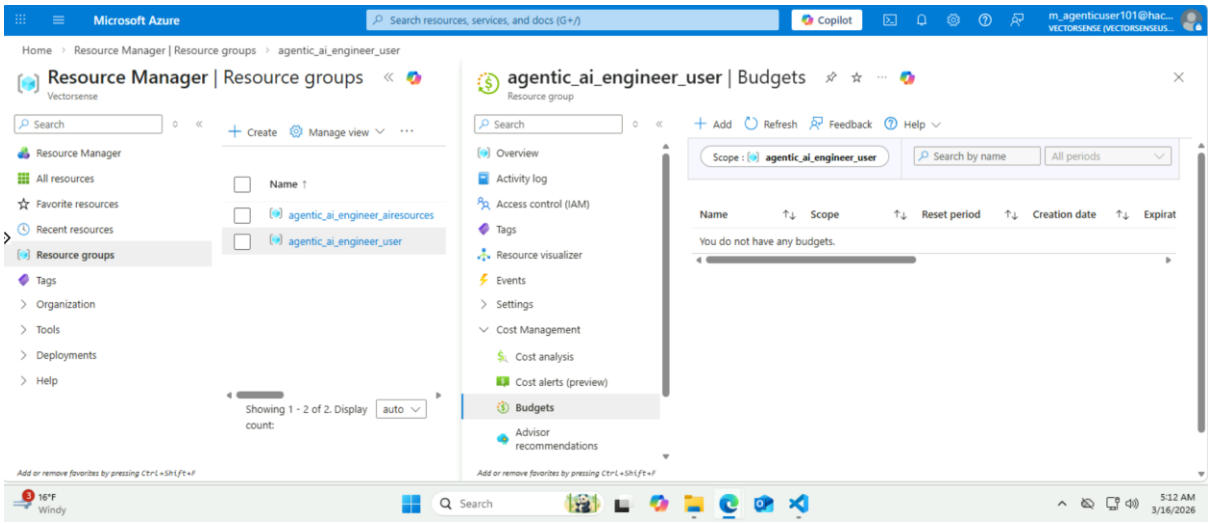
2. Navigate to the Azure Portal. In the address bar, type: **https://portal.azure.com** and press **Enter**. Sign in. Use the assigned lab username and password. If prompted with "Stay signed in?", click **Yes** to retain your session. Once signed in, you will land on the Azure Home dashboard.



3. In the top search bar, type: **Resource groups** and select the Resource groups service from the results. Open the resource group. From the list of resource groups, locate and click on **agentic_ai_engineer_user**.

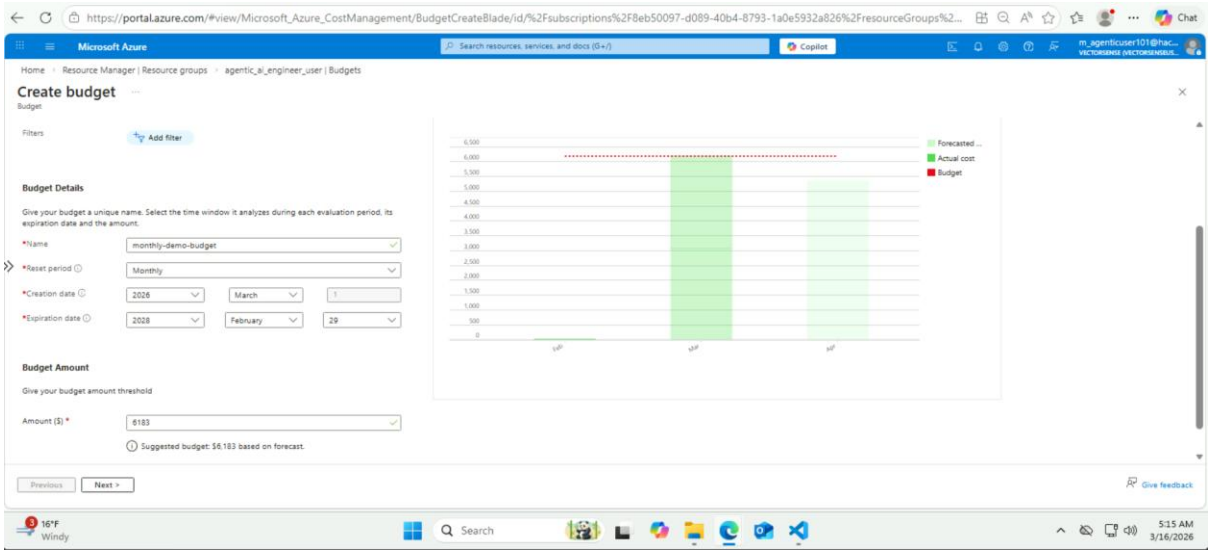


4. In the left-hand navigation menu of the resource group, scroll down to find the **Cost Management** section. Click on **Budgets**.



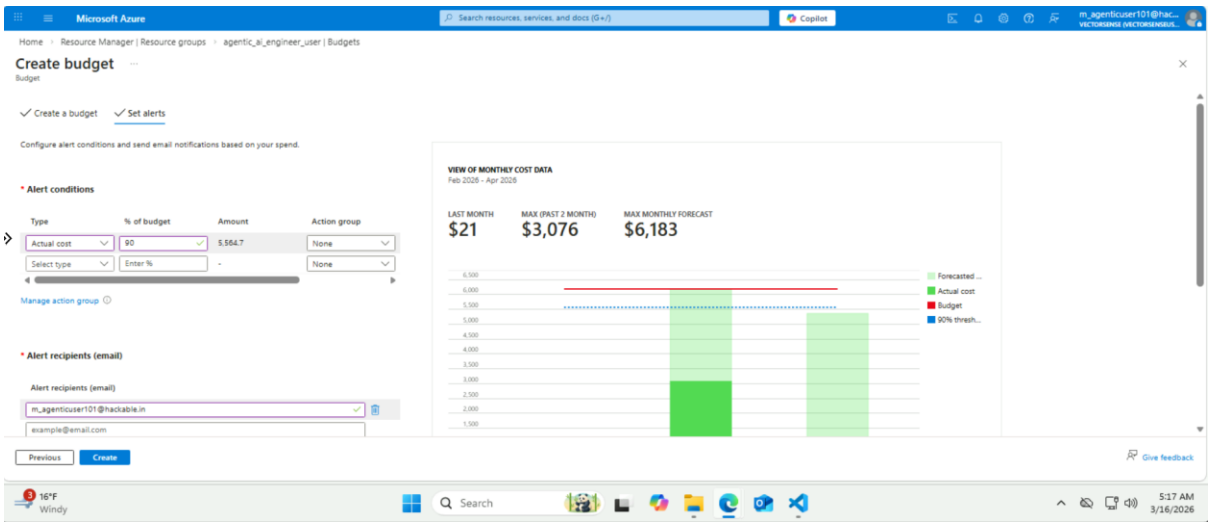
5. On the Budgets page, click **+ Add** at the top of the page. Enter budget details. Fill in the following fields:

- Budget name: Enter a descriptive name
- Reset period: Monthly
- Creation date: Accept the default (today)
- Expiration date: Select a date one year from today
- Budget amount: Enter a suitable amount based on the forecasted cost shown in the graph. The graph shows historical spending to help you choose a threshold.



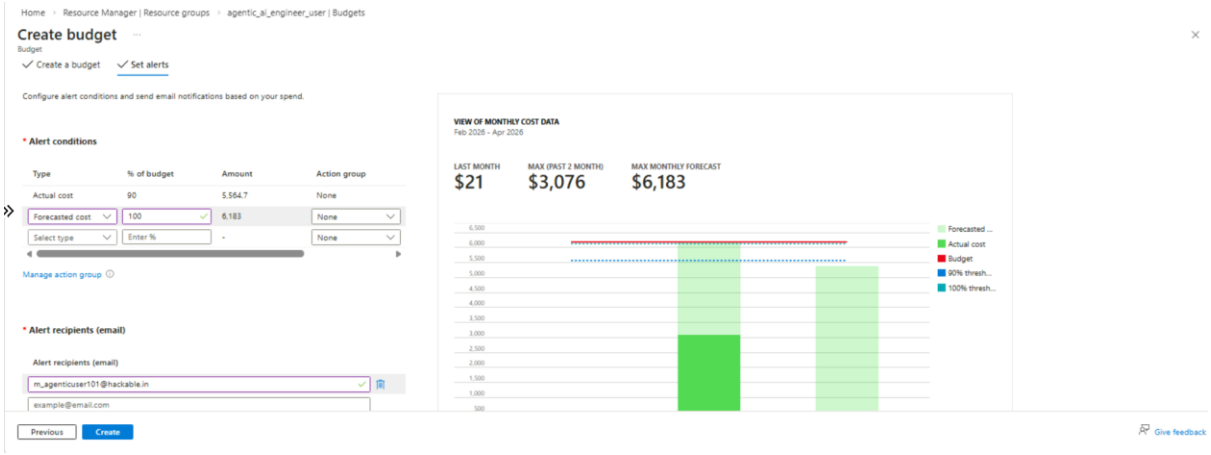
6. Click **Next** to proceed to the alert conditions configuration. Under Alert conditions, configure the following:

- Type: Actual
- Percentage of budget: 90
- Alert recipients (email): Enter your lab email address

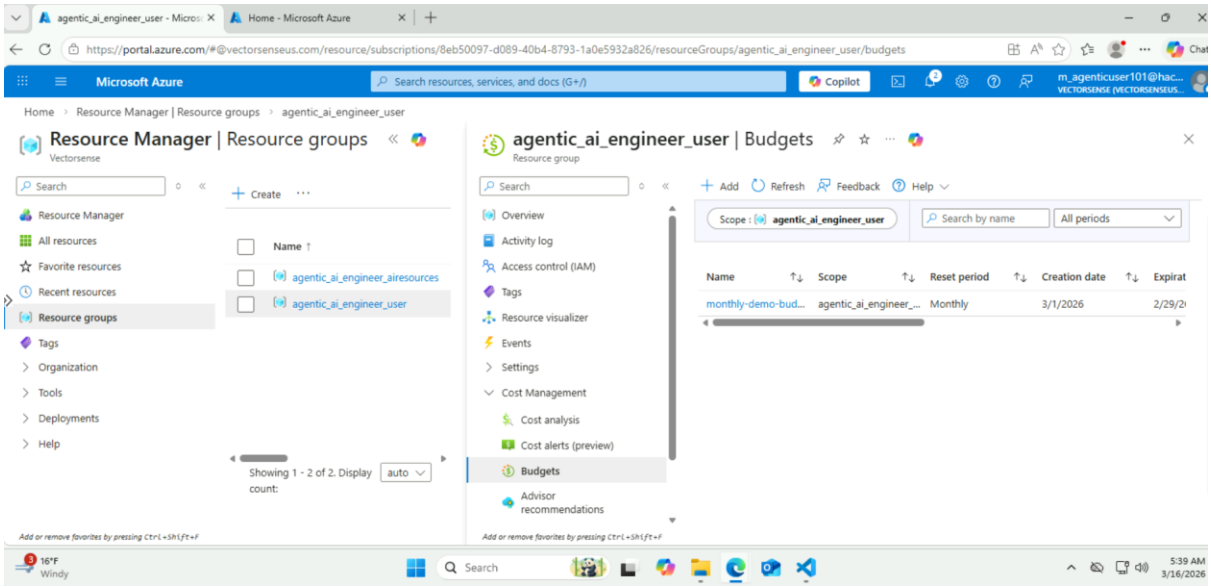


7. Click **+ Add** alert condition and configure a second alert:

- Type: Forecasted
- Percentage of budget: 100

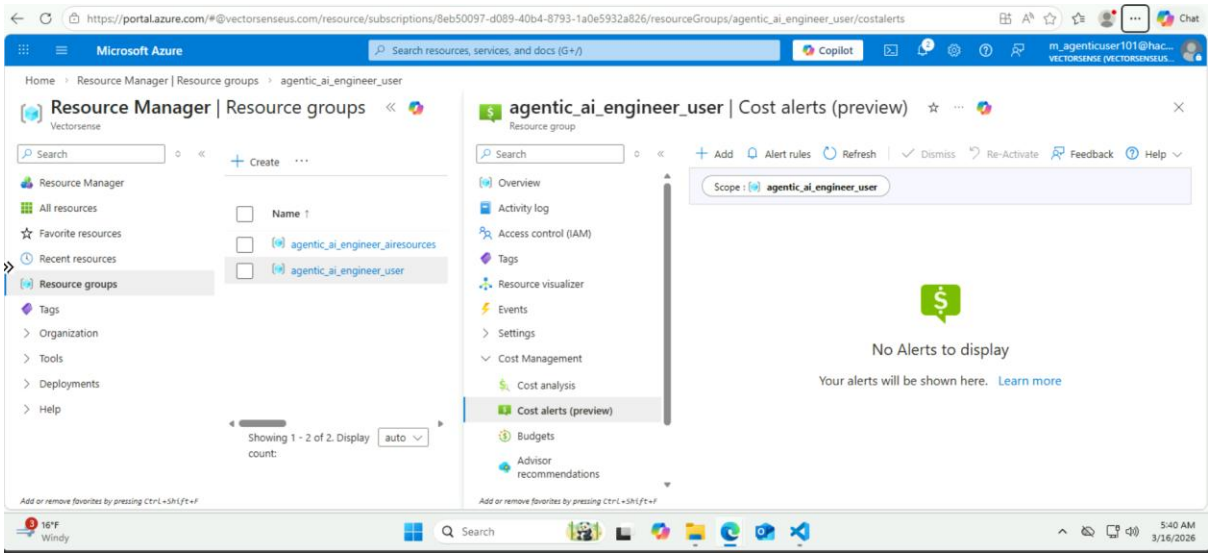


8. Click **Create** to save the budget. The budget will appear in the Budgets list showing your current spending against the configured amount.



Note: Cost and usage data is typically available within 8 to 24 hours, and budgets are evaluated against these costs every 24 hours. If you have just created the budget, it may take up to 24 hours before the first evaluation occurs.

9. Navigate to Cost Alerts. From the left-hand navigation menu of the resource group agentic_ai_engineer_user, scroll down to the Cost Management section. Click on **Cost alerts**.



10. The Cost alerts page shows all active and dismissed alerts. Each alert displays:

- Alert type
- The reason the alert was generated and the name of the budget it applies to
- Date generated
- Status: Active or Dismissed
- The scope (subscription or resource group) that the alert applies to

Click on any alert in the list to open its detail pane. Budget alerts include a link to the budget and, if a recommendation is available, a link to review it. Budget, credit, and department spending quota alerts also include a link to Analyse in cost analysis where you can explore costs for the alert scope.

To dismiss an active alert, select it and click Dismiss. To reactivate a dismissed alert, open its detail view and click Reactivate. Dismissed alerts remain visible in the list with a Dismissed status.

<u>Since we just created a budget, so we are unable to view any alert.</u>

Types of Cost Alerts

Budget Alerts

Budget alerts notify you when spending, based on usage or cost, reaches or exceeds the amount defined in the alert condition of the budget. Budget alerts are generated automatically whenever the budget alert conditions are met. You can view all cost alerts in

the Azure portal. An alert email is also sent to the people in the alert recipients list of the budget.

Credit Alerts

Credit alerts notify you when your Azure Prepayment (previously called monetary commitment) is consumed. Azure Prepayment is for organizations with Enterprise Agreements. Credit alerts are generated automatically at 90% and at 100% of your Azure Prepayment credit balance. Whenever an alert is generated, it is reflected in cost alerts and in the email sent to account owners.

Department Spending Quota Alerts

Department spending quota alerts notify you when department spending reaches a fixed threshold of the quota. Spending quotas are configured in the Azure portal. Whenever a threshold is met it generates an email to department owners and is shown in cost alerts. For example, at 50% or 75% of the quota.

Lab Summary

Congratulations! You have completed the Azure Cost Alerts and Budgets Lab.

In this lab you have accomplished the following:

- Navigated to the Azure Portal from a virtual machine environment.
- Opened Azure Cost Management and navigated to the Budgets section.
- Created a monthly budget with an actual cost alert at 90% and a forecasted cost alert at 100%.
- Navigated to the Cost alerts section and reviewed active alerts.